

4. **Base Stock Price Method:** Under this method, a minimum quantity of stock known as base stock or safety stock is always held at fixed price. The fixed price is kept below the original cost of the 'base stock'.
5. **Highest in First Out Method (HIFO):** This method is based on the assumption that issues are priced at the highest value of available consignments in the store. The closing stock of materials should always remain at the minimum value. The method is not popular as it always undervalues the stock, which amounts to creating secret reserves.
6. **Average Cost Method:** When large volumes of materials are available in stores with largely varied prices, pricing based on actual cost may be difficult. In such cases average price methods can be followed. Following are the different average price methods which is used to value material issues.
   (a) **Simple Average Price Method:** According to this method, items issued are priced at average of the prices of the different lots in stores, on the day of issue regardless of the quantity of each lot. It is assumed that materials received first are issued first, at the simple average price. Stock is valued at average of the prices of different lots in stores.
   (b) **Weighted Average Price Method:** In this method, the items issued are valued at weighted average price, which is calculated by taking into consideration both the quantities of items and the cost of the items. The costs of all items are added and the total cost is divided by the total quantity of items available. It is the most commonly used method for valuation of Inventories.
7. **Standard Cost Method:** In this method stock is valued at some predetermined cost per unit called the Standard Cost.
8. **Adjusted Selling Price:** In this method, the unsold stock is valued at the prevailing price out of which the normal profit plus the estimated cost of disposal, i.e., selling expenses and overhead expenses are deducted.

Methods of Calculating Market Price: Market price of stock is determined by following any of the two methods:

1. **Net Realisable Value:** It refers to the estimated price at which stock of goods can be sold in the market after deducting cost of marketing, selling and distribution expenses etc.
2. **Replacement Cost:** It represents the cost of replacing the stock of identical items at the date of balance sheet.

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